High-Yield Revision Sheet: Understanding Economic Development

Subject: Indian Economy | NCERT Class 10 Ch. 1 (Development) | UPSC & State PSC Core

⚡ 30-Second Snapshot

- Development is subjective and contested: developmental goals vary across socio-economic groups, and what represents progress for one community may entail severe displacement or ecological destruction for another.
- Quality of life depends heavily on non-material attributes (freedom, equality, security, dignity) alongside material income.
- Per Capita Income (PCI) is the World Bank's core classification metric, but mathematical averages obscure income inequality and distributional disparities.
- The Punjab–Kerala paradox proves that private wealth cannot substitute for collective social infrastructure (PDS, primary health, universal education).

📊 Inter-State Development Matrix

State	Per Capita Income (PCI)	Infant Mortality Rate (IMR per 1,000)	Literacy Rate (%)	Net Attendance Ratio (Class I–V)	Primary Developmental Inference
Punjab	Higher (~₹26,000)	49	70%	81%	High monetary income fails to translate into superior child survival or literacy.
Kerala	Moderate (~₹22,800)	11	91%	91%	Sustained institutional investment in universal health, PDS, and education yields superior outcomes.
Bihar	Low (~₹5,700)	60	47%	41%	Severe low-income trap combined with deficient public delivery infrastructure.

🌐 Beyond Income: The UNDP Human Development Index (HDI)

- **Three Core Dimensions:** Published annually in the Human Development Report (HDR), the HDI balances:
  - **Health Standard:** Life Expectancy at birth.
  - **Educational Attainment:** Mean years of schooling and Expected years of schooling.
  - **Decent Standard of Living:** Gross National Income (GNI) per capita measured in Purchasing Power Parity (PPP).
- **South Asian Cross-Comparison:**
  - **Sri Lanka:** Outperforms India across all major human development metrics despite having a smaller aggregate national GDP.
  - **Nepal:** Maintains life expectancy and literacy rates comparable to India despite possessing nearly half of India's per capita income.
- **Core Principle:** National development must evaluate human capabilities and life quality rather than aggregate monetary output alone.

⚠ Common UPSC Exam Traps

- **Trap 1 (Income vs. Capability):** A rise in Gross Domestic Product (GDP) or Per Capita Income does not automatically imply higher human development. Averages mask extreme internal income skewness and wealth concentration.
- **Trap 2 (World Bank vs. UNDP Criteria):** The World Bank classifies countries solely on monetary thresholds (Per Capita GNI via World Development Reports), whereas the UNDP uses the composite multidimensional Human Development Index (Life Expectancy, Schooling, GNI/capita PPP).

- **Trap 3 (Public Provisioning vs. Private Wealth):** Individual wealth cannot purchase non-excludable collective goods such as an unpolluted environment, containment of infectious disease epidemics, or universal elementary schooling.
- **Trap 4 (Renewable Resource Limits):** Renewable natural capital (e.g., groundwater) is not infinite. If extraction rates outpace natural replenishment velocity, renewable assets face catastrophic irreversible depletion.

🎯 High-Yield Facts Box

Parameter	Standard Value / Benchmark	Socio-Economic Significance
Lowest Infant Mortality (NCERT)	Kerala: 11 per 1,000 live births	Strong primary healthcare and maternal nourishment
Highest Literacy Rate (NCERT)	Kerala: 91% (vs. Bihar: 47%)	Foundational human capital and social capability
Groundwater Overexploitation	Over 33% of Indian districts	Water table drop >4 m over 2 decades from tube-well overuse
Projected Water Depletion	60% of nation critical in 25 years	Severe ecological risk in intensive agrarian green-revolution belts
HDI Superiority (Neighbour)	Sri Lanka (Rank 93 vs. India 126)	Proves social investment decouples from national economic scale

📝 Prelims Practice Challenge

Q1. Consider the following statements regarding the criteria used to measure national and regional development:

1. The World Bank's World Development Report classifies nations based on the multidimensional Human Development Index (HDI).
2. The Infant Mortality Rate indicates the number of children that die before the age of one year as a proportion of 1,000 live children born in that particular year.
3. In India, states with higher per capita income uniformly register lower infant mortality rates and higher net attendance ratios.

Which of the statements given above is/are correct?

- (A) 1 and 2 only
- (B) 2 only
- (C) 2 and 3 only
- (D) 1, 2, and 3

> **Answer: (B) 2 only**
> **Explanation:** Statement 1 is incorrect because the World Bank uses Per Capita Income (PCI/GNI) alone, whereas the UNDP publishes the HDI. Statement 2 is correct. Statement 3 is incorrect because states like Punjab possess higher per capita income than Kerala, yet Kerala exhibits a far lower IMR and higher net attendance ratio.

Q2. Consider the following pairs:

Development Dimension	Primary Indicator / Focus Area
1. **World Bank Classification**	GNI Per Capita / Average National Income
2. **UNDP HDI Health Indicator**	Infant Mortality Rate at 5 years
3. **Ecological Sustainability Threshold**	Renewable resource extraction rate exceeding natural replenishment

How many of the pairs given above are correctly matched?

- (A) Only one pair
- (B) Only two pairs
- (C) All three pairs
- (D) None of the pairs

> **Answer: (B) Only two pairs** *(Pairs 1 and 3 are correct)*

> **Explanation:** Pair 2 is incorrectly matched because the UNDP HDI health dimension is measured via **Life Expectancy at birth**, not the under-5 mortality rate. Pairs 1 and 3 are correctly matched.

🖋 Mains Practice Question (10 Marks / 150 Words)

Question: *"Economic growth is a necessary but not a sufficient condition for human development." Critically analyze this statement with reference to regional disparities in India.*

Structured Answer Framework:

- **Introduction (25–30 words):**
  Define economic growth as a quantitative expansion in GDP/Per Capita Income, contrasting it with human development, which reflects the qualitative widening of human capabilities, freedoms, and well-being.
- **Body Arguments (80–90 words):**
  - *The Income Disconnect:* High regional income does not guarantee human development due to unequal wealth concentration. As demonstrated by NCERT empirical data, Punjab's higher per capita income is accompanied by an IMR of 49, whereas Kerala achieves an IMR of 11 and 91% literacy on a lower per capita income base.
  - *Imperative of Public Goods:* Individual purchasing power cannot buy an infection-free environment, pathogen control, or universal public schooling. Kerala's social indicators stem from sustained public expenditure on primary health centres and the Public Distribution System (PDS).
  - *Ecological Boundaries:* Growth patterns relying on groundwater overextraction (33% of Indian districts overdrawn) compromise intergenerational equity.
- **Conclusion / Way Forward (25–30 words):**
  National development policy must pivot from aggregate income expansion to public provisioning and social safety nets, translating monetary surplus into enduring human capital under SDG targets.

Notes & Updates